

Commercial Loan Application Narrative

Borrower: Harbor Point Manufacturing LLC

The applicant is Harbor Point Manufacturing LLC, a precision metal components fabricator serving the aerospace and medical device markets. Principals are James Ortega and Marie Chen. The company operates in the precision manufacturing industry.

Facility Request

Harbor Point is requesting a term loan of \$2,400,000. The term of 20 years matches the useful life of the asset financed. Loan purpose: to finance the acquisition of a 42,000 square foot production facility currently under lease.

Character

Both principals maintain clean personal credit. FICO scores of 762 and 748 were obtained at application. James Ortega has 18 years of relevant experience in precision manufacturing and Marie Chen has 11 years in the industry. There are no liens, judgments, or pending litigation against either principal. The borrower has banked with this institution since 2009 with no past dues and no late payments on any facility. Disclosure was complete and unprompted; every schedule was provided at application without request. No bankruptcies or charge-offs appear on any principal's record.

Capacity

Adjusted EBITDA for the trailing twelve months was \$1,240,000. Total annual debt service on the proposed facility is \$890,000. Revenue has been growing year over year, from \$8.1 million to \$9.6 million. Add-backs are minimal and well documented, consisting solely of a one-time legal settlement recorded in the prior fiscal year.

Capital

The principals are injecting an equity contribution of \$760,000 at closing. Total project cost is \$3,160,000. The company reports strong tangible net worth supported by consistent retained earnings across five fiscal years. Harbor Point holds 8 months of operating reserves in unrestricted cash.

Collateral

The facility was appraised at \$3,350,000. The bank will hold a first lien on the property, which is readily marketable industrial real estate in an established corridor. The appraisal was completed 4 months ago by an MAI-certified appraiser. Unlimited personal guarantees will be provided by all principals.

Conditions

The precision manufacturing sector is a growing and stable industry in this region, supported by sustained aerospace demand. The largest single customer accounts for 14% of revenue. Use of proceeds is specific and documented in the attached sources and uses schedule. There are no known environmental issues; a clean Phase I assessment was delivered with the application.

